THE NATIONAL COMPANY LAW TRIBUNAL
CHANDIGARH BENCH, COURT-II, CHANDIGARH

CA (CAA) No.8/Chd/Hry/2025
(1st Motion)

Under Sections 230 to 232 of the Companies Act, 2013, and other applicable provisions of Companies (Compromise, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF SCHEME OF ARRANGEMENT BETWEEN:

Greenfuel Energy Solutions Private Limited
CIN:U40107HR2006PTC056098
Having its registered office at
Plot No.62/4
IMT, Manesar, Gurgaon
Haryana- 122050
Through, Mr. Akshay Kashyap, Authorized Signatory

...Applicant Company No.1/Demerged Company

And

Greenfuel Battery Solutions Private Limited
CIN:U31109HR2022PTC102300
Having its registered office at
Plot No.62/4
IMT, Manesar, Gurgaon
Haryana- 122051
Through,Ms. Sunanda Kashyap, Authorized Signatory

...Applicant Company No.2/Resultant Company

Order delivered on: 25.02.2025

Coram: HON'BLE MR. HARNAM SINGH THAKUR, MEMBER (JUDICIAL)
HON'BLE MR. ASHISH VERMA, MEMBER (TECHNICAL)

Present:

For the Applicant Companies: Mr. Mohit Singhal, Advocate with
Ms. Sheetal Sharma, PCS

Per: Sh. Harnam Singh Thakur, Member (Judicial)
Sh. Ashish Verma, Member (Technical)

ORDER

This is a Joint First Motion Application filed under the provisions of Sections 230 to 232 and other applicable provisions of the Companies Act, 2013 (hereinafter referred to as the **"Act"**) read together with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016, (hereinafter referred to as the **"Rules"**), the National Company Law Tribunal Laws, 2016 (hereinafter referred to as the **"NCLT Rules"**), and other applicable provisions, if any, by the Applicant Companies namely: Greenfuel Energy Solutions Private Limited (hereinafter referred to as the **"Applicant Company No.1" or "Demerged Company" or "GESPL"**) and Greenfuel Battery Solutions Private Limited (hereinafter referred to as the **"Applicant Company No.2" or "Resultant Company" or "GBSPL"**, and collectively referred to as the **"Applicant Companies"**) in respect of the proposed Scheme of Arrangement between the Demerged Company and the Resultant Company and their respective Shareholders and Creditors (hereinafter referred to as the **"Scheme" or "Scheme of Arrangement"**) seeking approval/sanctioning of the Scheme and appropriate orders to dispense with/convene the meetings of the Equity Shareholders, Secured Creditors and Unsecured Creditors of the Applicant Companies for the purpose of considering and approving, with or without modification, the Scheme. It has also been prayed to direct (i) publication of the

notice of the proposed meetings and (ii) service of notice of the Application on the Statutory Authorities.

2. The Scheme provides for Demerger of the energy storage system business and E-mobility division of the Demerged Company into the Resulting Company. A duly signed Scheme has been annexed with the Application as **Annexure A-1**.
3. The Demerged Company and the Resultant Company have their respective registered offices in the State of Haryana, therefore, this Application is under the territorial jurisdiction of this Bench.

FACTS OF THE CASE:

4. The brief facts, as stated in the Application, as summarised below:
   i. The Demerged Company was incorporated on 31st October 2006, as a company limited by shares. The Certified True Copies of Memorandum and Articles of Association of the Demerged Company are attached as **Annexure A-7**.
   ii. The Demerged Company is primarily engaged in manufacturing of CNG pipes Division and Manufacturing of advanced Lithium-Ion Batteries for E-mobility and Energy Storage Systems Division and its main objects are as follows:
      a. *To import, export, buy package, manufacture and sell products for alternate fuel systems and alternate energy systems.*
      b. *To provide alternate energy solutions by acting as consultants and representatives of various manufactures and to obtain and execute orders for various technologies and products in the field*

of alternate energy, including CNG, hydrogen, LPG, wind power hydro power and solar energy.

iii. Sub Clause 20 of Object Clause III(B) of the Memorandum of Association of the Demerged Company authorizes Amalgamation with any other Company.

iv. The Capital Structure of the Demerged Company as per the latest Audited Balance Sheet (as on 31st March, 2024) is as follows:

Particulars		**Amount (in Rs.)**
Authorized		
2,50,000 Equity Shares of Rs.10/- each	:	25,00,000/-
Issued, Subscribed and Fully Paid-up		
1,50,000 Equity Shares of Rs.10/- each	:	15,00,000/-
Total paid-up capital	**:**	**15,00,000/-**

v. The Demerged Company has completed a buyback of 4,156 equity shares on 26th September, 2024 and the issued, subscribed and paid-up capital structure has been updated accordingly. There has been no change in the authorised capital structure of the Demerged Company till the date of filing of this Application.

vi. The Share Capital of the Demerged Company as on 31st March 2024 was held by the following:

Name	Number of shares held	Percentage of Holding
Akshay Kashyap	1,44,000	96%
Sunanda Kashyap	6,000	04%
Total	**1,50,000**	**100.00%**

vii. The Share Capital of the Demerged Company as on 30th September 2024 was held by the following:

Name	Number of shares held	Percentage of Holding
Akshay Kashyap	1,45,843	99.99%
Sunanda Kashyap	1	0.01%
Total	**1,45,844**	**100.00%**

viii. The following persons have been appointed as the Directors of the Demerged Company:

NAME	ADDRESS
Akshay Kashyap	163-D, Sainik Farms, Lane-W2 Western Avenue Delhi-110062 India
Sunanda Kashyap	163 D-Lane W-2, Western Avenue Pushpa Bhawan S.O New Delhi-110062 India

ix. A copy of the Audited Balance Sheet of the Demerged Company for the year ending on 31st March, 2024 along with Provisonal Financials as on 30th September, 2024 is attached as **Annexure A-8**.

x. The Resulting Company was incorporated on 25th March 2022, as a company limited by shares. Certified true Copies of the Memorandum and Articles of Association of the Resulting Company are attached as **Annexure A-9**. The main object of the Resulting Company as set out in the Memorandum of Association are as follows:

   a. *To carry on in India and abroad the business of design, develop, manufacture, and assemble, buy, sell, import, export, distribute, and deal in batteries of all kinds and descriptions for automotive and others including Battery chargers, SMPS Chargers, Battery backup devices, Solar Batteries, Tubular Batteries, BMS (Battery Management System) and various batteries of all description and all components, parts, accessories, articles and fittings required for that purpose.*

xi. Sub Clause 5 of Object Clause III(B) of the Memorandum of Association of the Resulting Company authorizes subject to the provisions of the Companies Act, 2013 to amalgamate with any other Company having objects altogether or in part similar to those of this Company.

xii. The Rationale of the Scheme is as below:

The Demerged Company has two distinct business divisions i.e. Manufacturing of advanced CNG Pipes (hereinafter referred to as **"Remaining Division"** or **"Remaining Business"**) & Energy Storage Systems Division which includes E-mobility division (hereinafter referred to as **"Demerged Division"** or **"Demerged Business"**) and the Board of Directors of the Demerged Company has decided to demerge the energy

storage system business and E-mobility division into the Resultant Company to include the following benefits:

a. *The nature of risk, competition, challenge, opportunities, and business methods for the Manufacturing of advanced CNG Pipes are distinctive and different from the Demerged Business carried out by the Demerged Company.*
b. *Further, the way energy storage system business and E-mobility division is required to be handled and managed separately, as it is not similar to that of the Remaining Business.*
c. *The Demerged Business existing carried out by the Demerged Company has significant potential for growth and profitability and can attract different set of investors, strategic partners, lenders etc. Therefore, as the Demerged Business approaches its next phase of growth, it would be strategically apt to segregate the Demerged Business from the Demerged Company.*
d. *The segregation shall enable the Demerged Company and the Resultant Company to move forward independently, with greater focus and specilization, building on their respective capabilities and their strong brand presence. It will also help to channelize resources required for all the businesses to focus on the growing business and attract the right talent and provide enhanced growth opportunities.*
e. *The Scheme will also enable the Demerged Company and the Resultant Company to focus on and enhance their respective business by streamlining operations and their management structure ensuring better and efficient management control.*
f. *Bifurcation of these businesses will enable unlocking value of each business and thereby paving way for focused growth with a view to create significant stakeholder value.*

g. *In order to strengthen and sustain the long-term profitability, market share, customer service and face the competitive regulatory environment, risks and policies, the Demerged Business requires focused management attention, specialized skills sets and resources including professional management.*

h. *Synergies in operational process and creation of efficiencies by reducing time to market and benefiting customers as well as optimization of operation and capital expenditure;*

i. *Leading to increased competitive strength, cost reduction and efficiencies, productivity gains by pooling the financial, managerial and technical resources, personnel capabilities, skills, expertise and technologies thereby significantly contributing to future growth; and*

j. *The Demerger will unlock value of both businesses and result in shareholder value maximization.*

xiii. The Capital Structure of the Resulting Company as per the latest Audited Balance Sheet as on 31st March 2024 is as follows:

Particulars		Amount (in Rs.)
Authorized		
50,000 Equity Shares of Rs.10/- each	:	5,00,000/-
Issued, Subscribed and Fully Paid-up		
50,000 Equity Shares of Rs.10/- each	:	5,00,000/-
Total paid up capital	**:**	**5,00,000/-**

xiv. There has been no change in the authorised, issued, subscribed and paid up capital structure of the Resulting Company till the date of filing of this Application.

xv. The Share Capital of the Resulting Company as on 30th September 2024 was held by the following:

Name	Number of shares held	Percentage of Holding
Akshay Kashyap	49,500	99%
Sunanda Kashyap	500	1%
Total	**50,000**	**100.00%**

xvi. The following persons have been appointed as the Directors of the Resulting Company:

NAME	ADDRESS
Akshay Kashyap	163-D, Sainik Farms, Lane-W2 Western Avenue Delhi-110062 India
Sunanda Kashyap	163 D-Lane W-2, Western Avenue Pushpa Bhawan S.O New Delhi-110062 India

xvii. The certified copy of the latest Audited Financials of the Resulting Company for the year ended March 31, 2024 along with Provisional Financials as on 30th September, 2024 is attached as **Annexure A-10**.

xviii. The Applicant Companies have furnished the details of the Equity Shareholders, Secured and Unsecured Creditors as below:

S. No.	No. of Equity Shareholders	Consent /%age	No. of Secured Creditors	Consent/ %age	No. of Unsecured Creditors	Consent/ %age
Demerged Company	2	100% in number 100% in value	4	NIL	265	NIL
Resultant Company	2	100% in number 100% in value	0	NA	0	NA

xix. The Demerged Company has 2 Equity Shareholders as on September 30, 2024 holding 1,45,844 number of equity shares of face value of Rs.10/- each. All the Equity Shareholders have given their consent to the Scheme constituting 100% in number of total shareholder and 100% in value. List of Equity Shareholders is attached as **Annexure A-11** and affidavits of consent of the Equity Shareholders are attached as **Annexure A-12**.

xx. The Demerged Company has 4 Secured Creditors amounting to Rs.6,30,24,616 as on 30th September 2024. The list of Secured Creditors as on 30th September 2024 along with the Chartered Accountant Certificate certifying the Secured Creditors is attached as **Annexure A-13 (Colly)**.

xxi. The Demerged Company has 265 Unsecured Creditors amounting to Rs.22,04,73,743 as on 30th September 2024. The list of Unsecured Creditors as on 30th September 2024 along with the Chartered

Accountant Certificate certifying the Unsecured Creditors is attached as **Annexure A-14 (Colly)**.

xxii. The Resulting Company has 2 Equity Shareholders as on 31st March, 2024 holding 50,000 number of equity shares of face value of Rs.10/- each. All the Equity Shareholders have given their consent to the Scheme constituting 100% in number of total shareholder and 100% in value. List of Equity Shareholders is attached as **Annexure A-15** and affidavits of consents are attached as **Annexure A-16 (Colly)**.

xxiii. The Resulting Company has NIL Secured Creditors amounting to Rs.NIL as on 30th September 2024. The list of NIL Secured Creditors as on 30th September 2024 along with the Chartered Accountant Certificate certifying the NIL Secured Creditors is attached as **Annexure A-17 (Colly)**.

xxiv. The Resulting Company has NIL Unsecured Creditors amounting to Rs.NIL as on 30th September 2024. The list of NIL Unsecured Creditors as on 30th September 2024 along with the Chartered Accountant Certificate certifying the NIL Unsecured Creditors is attached as **Annexure A-18 (Colly)**.

xxv. The appointed date as per the Scheme of Arrangement is 1st October, 2024.

xxvi. In consideration of the demerger and transfer of the Demerged Business, the Resulting Company will issue new shares as follows (**Share Entitlement Ratio**):

2,439 Equity Shares of Rs.10 each of the Resultant Company, credited as fully paid-up, for every 20 Equity Shares of Rs.10 each, fully paid-up held in the Demerged Company.

xxvii. The Directors do not have any material interest in Scheme save as except to the extent of shareholding in the above mentioned Applicant Companies.

xxviii. The Scheme is not prejudicial to the interest of any Equity Shareholder and Creditor of the Demerged Company and the Resulting Company.

xxix. The Scheme will be beneficial to the Demerged Company, the Resulting Company and their respective shareholders and creditors as whole and is also just and equitable.

xxx. Affidavit dated 29.01.2025 was filed vide Diary No.03629/1 stating that no investigation or proceedings are pending against the Demerged Company and the Resulting Company under the Companies Act, 2013 or under the Companies Act, 1956 or under any other law.

xxxi. The Auditor's Certificate certifying the accounting treatment in the Scheme is attached as **Annexure A-19**.

xxxii. The Copy of the Master Data of the Demerged Company and the Resulting Company as available on the Ministry of Corporate Affairs website is attached as **Annexure A-20** and **Annexure A-21**, respectively.

xxxiii. The list of Directors of the Demerged Company and the Resulting Company is attached as **Annexure A-22** and **Annexure A-23**, respectively.

xxxiv. The Scheme between the Demerged Company and the Resulting Company does not contemplate any Corporate Debt Restructuring Scheme as contemplated under Section 230(2)(c) of the Companies Act, 2013.

xxxv. The Application is within the limitation laid down in Section 230 of the Companies Act, 2013.

DIRECTIONS

5. Accordingly, the directions of this Bench in the present case are as under:

I. In relation to the Demerged Company:

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern and the fact that both the Equity Shareholders have given their consents by way of affidavits.

b. The meeting of the Secured Creditors be convened as prayed for, on such date, time and venue through video conferencing with facility of remote e-voting, as decided by the Chairperson with the consent of Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

c. The quorum of the above meeting of the Secured Creditors shall be 2 in number or 51% in value of the Secured Creditors. The proxy(ies) will not be counted for the calculation of the quorum for the above meeting of the Secured Creditors. In case, the required quorum as noted above is not present within half an hour from the time

appointed for holding the meeting of the Secured and Unsecured Creditors, then the meeting shall be adjourned by 30 minutes and thereafter, the persons present for the meeting shall be deemed to constitute the quorum for meeting and voting.

d. The intimation about the adjourned meeting should be given to each member, as the case may be, through e-mail or by any other mode. If the quorum is still not present on such adjourned date, then the Chairman may furnish a report to the effect to this Tribunal within seven days thereafter;

e. The meeting of the Unsecured Creditors be convened as prayed for, on such date, time and venue through video conferencing with facility of remote e-voting, as decided by the Chairperson with the consent of Alternate Chairperson and Scrutiniser, subject to individual notices of the meeting being issued.

f. The quorum of the above meeting of the Unsecured Creditors shall be 136 in number or 51% in value of the Unsecured Creditors. In case, the required quorum as noted above for the meeting of the Unsecured Creditors is not present at the commencement of the meeting, the meeting shall be adjourned by 30 minutes and thereafter the persons present for meeting shall be deemed to constitute the quorum for meeting and voting.

II. **<u>In relation to the Resulting Company</u> :**

a. The meeting of the Equity Shareholders is dispensed with keeping in view the shareholding and ownership pattern and the fact that both the Equity Shareholders have given their consents by way of affidavits.

b. There are no Secured Creditors, therefore there is no scope of any meeting.

c. There are no Unsecured Creditors, therefore there is no scope of any meeting.

III. Justice (Retd.) Ms. Ritu Tagore, Address: House No.288, Sector-6, Panchkula and House No. 807/6, Ahsan Road, Civil Lines, Ludhiana, Mobile No. 9996171012, Email: Ritutagore.rt@gmail.com, is appointed as the Chairperson for the meetings to be called under this order. An amount of ₹1,50,000/- (Rupees One Lakh and Fifty Thousand Only) be paid for her services as the Chairperson.

IV. Ms. Krishna Anmol Singh, Advocate, Address: House No.315, Ground Floor, Sector- 35A, Chandigarh-160022, Mobile No: 9818282596, Email: adv.krishh@gmail.com, is appointed as the Alternate Chairperson for the meetings to be called under this order. An amount of ₹1,00,000/- (Rupees One Lakh Only) be paid for her services as the Alternate Chairperson.

V. Mr. Vivek Goyal, Chartered Accountant, Address: House No. 424, Mansa Devi Complex, Sector-6, Panchkula-134114, Mobile No: 9815522553, Email: vpachd@gmail.com is appointed as the Scrutinizer for the above

meetings to be called under this order. An amount of ₹80,000/- (Rupees Eighty Thousand Only) be paid for his services as the Scrutinizer.

VI. The fee of the Chairperson, Alternate Chairperson and Scrutinizer and other out of pocket expenses for them shall be borne by the Demerged Company.

VII. The individual notices of the above meetings shall be served, to the all the Secured and Unsecured Creditors of the Demerged Company through registered post or speed post or through courier or e-mail, 30 days in advance before the schedule date of meeting, indicating the day, date, place and time as aforesaid, together with a copy of the Scheme, copy of explanatory statement with Valuation Report and any other documents, as may be prescribed under the Act, in the same manner as the notices shall be served to various authorities as per Section 230(5) of the Companies Act, 2013 read with Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. It is clarified that the notice of meetings published in the newspapers will not be deemed to be the notice to the Equity Shareholders, Secured Non-Convertible Debenture Holders and Unsecured Creditors.

VIII. The audited accounting statement of Applicant Companies as on 31.03.2024 and the provisional accounting statement on a subsequent date in terms of Section 232 (2)(e) of the Act be also circulated for the aforesaid meetings.

IX. Along with the notices, the Demerged Company shall also send, statements explaining the effect of the scheme on the creditors, key managerial personnel, promoters and non-promoter members, etc. along with the effect of the scheme of amalgamation on any material interests of the Directors of the Company or the debenture trustees if any, as provided under sub-section (3) of Section 230 of the Act.

X. The Demerged Company shall publish an advertisement with a gap of at least 30 clear days before the aforesaid meeting, indicating the day, date, place and the time of the meeting as aforesaid, in newspaper namely; **"Business Standard"** (English, Gurgaon, and Haryana Edition) in English language and **"Jansatta"** (Hindi, Gurgaon, and Haryana Edition), in Hindi language. It be stated in the advertisement that the Copies of the Scheme, Explanatory Statements etc. are required to be published pursuant to Section 230 to 232 of the Act. The publication shall also indicate that the explanatory statement required to be furnished pursuant to Sections 230 & 232 can be obtained free of charge at the registered office of the Applicant Companies. The Applicant Companies shall also publish the notice on their website, if any.

XI. It shall be the responsibility of the Applicant Companies to ensure that the notices are sent under the signature and supervision of the authorized representative of the company on the basis of Board resolutions and that

they shall file their affidavits in the Tribunal at least ten days before the date fixed for the meeting.

XII. Voting shall be allowed on the "Scheme" through electronic means which will remain open for a period as mandated under Clause 8.3 of Secretarial Standards on General Meetings to the Applicant Company under the Act and the Rules framed thereunder.

XIII. The Scrutinizer's report will contain his/ her findings on the compliance to the directions above.

XIV. The Chairperson shall be responsible to report the result of the meeting to the Tribunal in Form No. CAA-4, as per Rule 14 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 within 7 (seven) days of the conclusion of the meeting. The Chairperson would be fully assisted by the authorized representative/Company Secretary of the Applicant Company and the Alternate Chairperson. The Scrutinizer will assist the Chairperson and Alternate Chairperson in preparing and finalizing the report.

XV. The Demerged Company shall individually and in compliance of sub-Section (5) of Section 230 of the Act and Rule 8 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 send notices in Form No. CAA-3 along with copy of the Scheme, Explanatory Statement and the disclosures mentioned in Rule 6 of the "Rules" to (i) Central Government through the Regional Director (Northern Region),

Ministry of Corporate Affairs, New Delhi; (ii) Jurisdictional Registrar of Companies; (iii) Income Tax Department through the Nodal Officer – Principal Commissioner of Income Tax, NWR, Aayakar Bhawan, Sector 17-E, Chandigarh by mentioning the PAN number of the Applicant Companies; (iv) Authorities, to whom the statutory dues are payable as per the financial statements of the Applicant Company No. 1; and (v) such other Sectoral Regulator(s) governing the business of the Applicant Company, if any, stating that report on the same, if any, shall be sent to this Tribunal within a period of 30 days from the date of receipt of such notice and copy of such report shall be simultaneously sent to the applicant company, failing which it shall be presumed that they have no objection to the proposed Scheme.

XVI. The Demerged Company shall furnish a copy of the Scheme free of charge within one day of requisition for the Scheme made by any creditor or member/shareholder entitled to attend the meeting as aforesaid.

XVII. The authorized representative of the Demerged Company shall furnish an affidavit of service of notice of meeting and publication of advertisement and compliance of all directions contained herein at least a week before the proposed meeting.

6. All the aforesaid directions are to be complied with strictly in accordance with the applicable laws including forms and formats contained in the Rules as well as the provisions of the Companies Act, 2013 by the Applicant Company.

7. With the aforesaid directions, this First Motion Application stands allowed by giving liberty to the Applicant Companies to file Second Motion Petition in accordance with Rule 15 of the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016. A copy of this order be supplied to the learned counsel for the Applicant, who in turn shall supply a copy of the same to the Chairperson, Alternate Chairperson and the Scrutinizer immediately.

Sd/-

(Ashish Verma)
Member (Technical)

Sd/-

(Harnam Singh Thakur)
Member (Judicial)

February 25, 2025
ASG